of 1946 regarding the pros and cons of nationalization. Deputy Governor Trevor dealt with the matter in Deshmukh's absence and on the latter's return discussed the matter with him. An interim reply was sent to the government in which their personal views were set forth. It was stated that two possible reasons for wanting to nationalize the bank were, firstly, that it was not fulfilling the expectations which its establishment had given rise to and, secondly, fears that it would not be 'sufficiently pliable and responsive to the wishes of the Government in power'.[2]

It was pointed out that there was no well-founded criticism about the manner in which the bank had functioned. Nor was there any reason why the bank could not in the future shoulder its responsibilities as diligently and efficiently as it had in the past. Trevor opined that any reference to the nationalization issue made by the Select Committee on the Banking Companies Bill, should be met with the assertion that it was premature to consider the matter until India had a permanent constitution. The fears that this matter would come up were not unfounded. In a Minute of dissent signed by five members appended to the Report of the Committee, it was stated: Lastly, we wish to add that all banks should be nationalized at an early date and that as a first step, the RBI and the Imperial Bank may be made State Banks.[3]

A note prepared by the Research Department drew attention to the fact that the nationalization of the Bank of England, which had prompted the call for a similar step in India, was mainly a '*de jure* recognition of a *de* facto state of affairs'. There was practically no change otherwise in the working of the bank. The main reason for nationalization was the desire of the government to ensure that their wishes would be carried out by the RBI. Also, the bank had paid only conservative dividends, the surplus profits accruing to government. An appraisal of the bank's working during the short period of its existence, the note remarked, was rendered difficult because the floatation of numerous loans, the repatriation of sterling debt, and the administration of exchange control, engaged so much of the bank's attention that it could not give due consideration to other important problems. Also, the bank had to function within the framework of its constitution, and it could not always pursue policies according to its own wishes. The note also listed a few important achievements of the bank.